

# Planning in Management

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# OBJECTIVE:

Understand the characteristics , objectives and nature of planning

Know the importance and advantage of planning

Recognize the steps, methods and limitations of planning



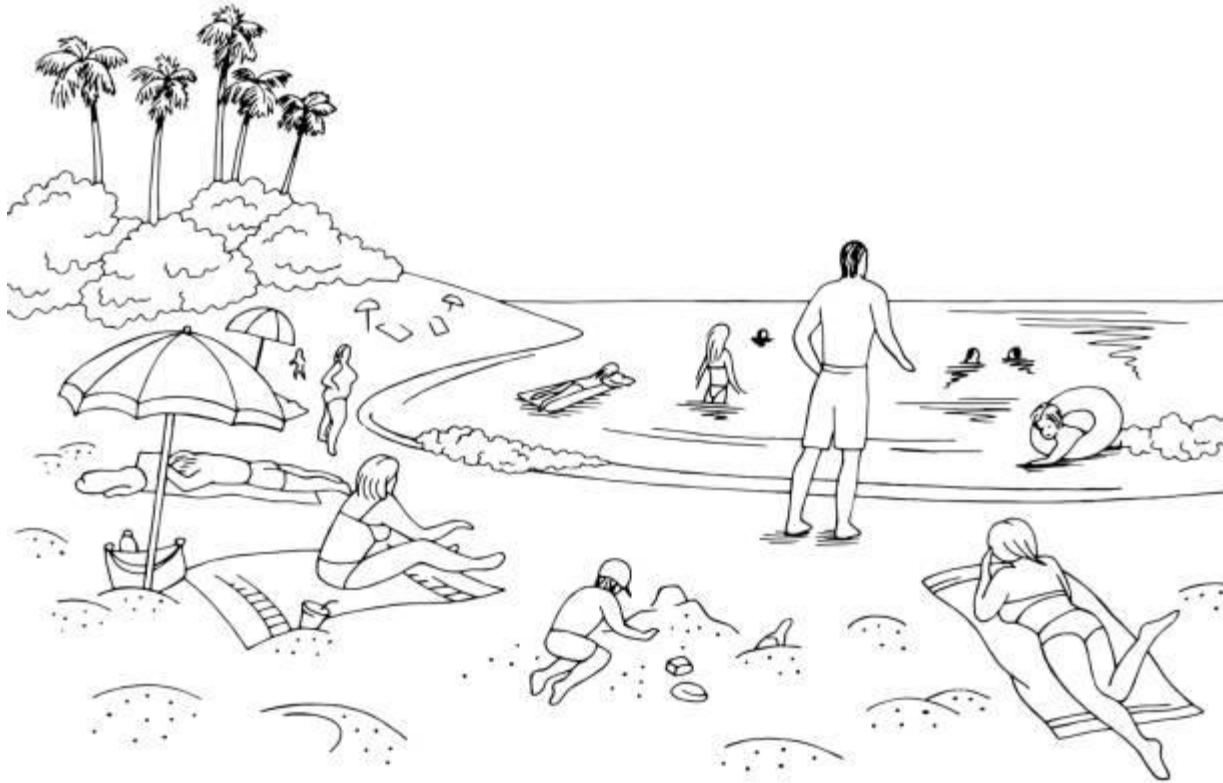
# Introduction



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# Introduction



**DRAWING**

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# Introduction

- Planning is essential in every walk of life
- Planning is the first and foremost function of management
- The planner can develop his efficiency by preparing himself to face the future developments



# Introduction

- Planning is as intellectual process of thinking resorted to decide a course of action which helps to achieve the pre-determined objectives of the organization in future
- According to
  - Koontz and O'Donnell: Planning is deciding in advance what to do, when and how to do and who is going to do it
  - Terry: Planning is the selecting and relating the facts
  - Allen: A plan is a trap laid to capture the future

**George R. Terry (1909–1979)** was the first to call his book Principles of Management... Terry's elements included planning, organizing, directing, coordinating, controlling, and leading human efforts.

**Louis Alexander Allen (born Oct. 8, 1917)** is an American management consultant and management author, known from his early work on management and organization.



# Introduction

- According to
  - Kast and Rosenzweig: A plan is determined course of action
  - J.P. Barger: Planning is an ability to visualize a future process and its results
- According to
  - Cyril L. Hudson: To plan is to produce a scheme for future action; to bring about specified results, at specified cost, in specified period of time



# Introduction

- According to
  - Hamilton Church: Planning is the exercise of foresight
  - Hart: Planning is the determination of the a line of action in advance by which certain results are to be achieved
  - Alford and Beatty: Planning is the thinking process, the organized foresight, the vision based on fact and experience that is required for intelligent action





# Characteristics of Planning

- Planning is looking into future
- Planning discovers the best alternative out of available many alternatives
- Continuous process
- Done for specific period
- Required at all levels of management



# Objectives of Planning

- Reduces Uncertainty
  - Planning may convert the uncertainty into certainty
- Bring co-operation and co-operation
  - Planning can bring co-operation and co-ordination among various sections of organizations
- Economy in operation
  - Planning selects best alternatives



# Objectives of Planning

- Anticipates unpredictability contingencies
  - The planning provides a provision to meet contingencies and tackle them successfully
- Achieving the pre determined goals
  - Planning activities are aimed at achieving the objectives of the enterprise



# The Nature of Planning

- Planning: looking ahead to chart the best courses of future action.
- Strategic planning: Long range planning to set organizational goals, objectives, and policies to determine strategies, tactics, and programs for achieving them.
  - Top management makes strategic plans.
  - Middle Management makes annual plans (to implement the above).



# The Nature of Planning

- Primary of planning
  - Planning, organizing, staffing, directing and controlling are the main functions of the management. But planning can be termed as the primary function among those
- Planning contribute to objectives
  - Planning is based on objectives. It contributes to the attainment of objectives



# The Nature of Planning

- Planning an intellectual activity
  - Planning includes the selection of the best alternative available and thinking before selection of the best alternative
- Planning results in higher efficiency
  - Planning leads to maximum output with minimum expenditure
- Planning is a continuous process
  - Planning is necessary throughout the running of the business concern as a continuous process



# The Nature of Planning

- Planning is flexible
  - Planning selects the best alternative based on certain assumptions
- Unity and consistency
  - Managerial actions of different managers are unified in order to achieve the objective
- Planning is common to all
  - Planning work is done by every person who is working in a business



# The Nature of Planning

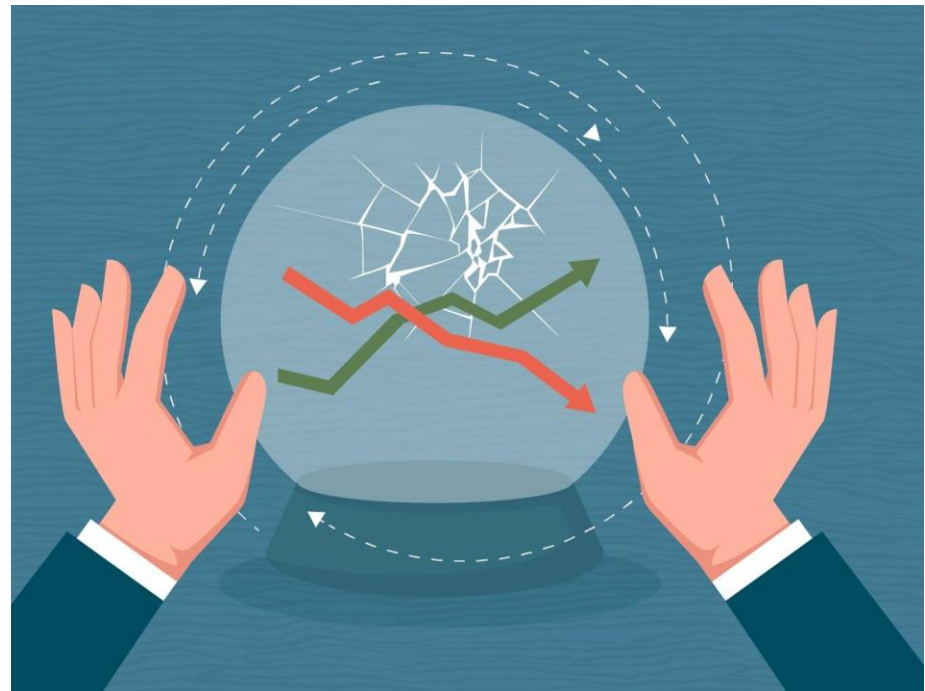
- Basis for all managerial function
  - Top management – strategic planning
  - Middle management – administrative planning
  - Lower level management – operational planning
- Getting co-ordination
  - Nothing can be co-ordinated without planning
- Considering limiting factor
  - Every plan is formulated after





# Forecasting

- Forecasting:  
Predicting future needs on the basis of historical data, present conditions, and assured future.
- Forecasting controls staffing, purchasing, and production decisions.



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# Forecasting

- Planning and forecasting are two different processes
- Forecasting is nothing but the guessing of the future course of events correctly

**Louis A. Allen**, Forecasting is a systematic **attempt** to probe the future by inference from known facts.



# Forecasting: The Risk Factor

- You reduce risk when you collect relevant data and apply it to your forecast.
- In some foodservices the degree of certainty about tomorrow is high.
- Contingency Plan: Reduce risk by having a alternate plan in reserve.
- Keeping records can reduce the risks for repetitive situations.



# Importance of Planning

- Planning is an important and basic function of management
- Orderly procedure is possible through planning
- According to George Terry, planning is basic to the other fundamental management functions



# Importance of Planning

- Defective planning and inadequate planning leads to failure of the organization
- Without plans, action must become merely random activity producing nothing but chaos



# Important Reason for Planning Function

- To manage by objectives
  - Planning makes the organization focus on the objectives for early achievement
- Convert uncertainty into certainty
  - The planning provides necessary provisions to face the uncertainties predicted by forecasting



# Important Reason for Planning Function

- Help in co-ordination
  - Co-ordination is obtained by the management through planning, published policies, programs and procedures
- Tackling increasing complexities of business
  - Many people with different qualifications are needed to run the business



# Important Reason for Planning Function

- Effective utilization of resources
  - Planning involves deciding in advance of the business activities
- Avoiding business failure
  - Planning includes the selection of the best objectives, economy in operation, co-ordination and avoiding the business failure





# Advantages of Planning

- Better utilization of resources
  - Planning decides what to produce and how to produce
- Helps in achieving the objectives
  - Planning sets goals for the organization which gives effective direction to the control of employees of the organization
- Economy in operation
  - Unnecessary production, ineffective utilization and unnecessary activities are eliminated through planning



# Advantages of Planning

- Minimizes future uncertainties
  - Planning foresees the changes and uncertainties taking shape in future and devises methods to face them
- Improves competitive strength
  - Competitive strength is improved by adding new line of products changes in quality.



# Advantages of Planning

- Motivation
  - A well-prepared plan encourages the employees of an organization and gives them sense of effective participation
- Co-operation
  - Planning helps the management pull the individual to achieve common objectives or goals
- Promote growth and improvement
  - Planning sets a standard to control



# Advantages of Planning

- Develops rationality among management executives
  - Disciplined thinking of management executives in geared up through formal planning
- Prevents hasty judgment
  - It is possible to plan in advance as to what will be done and know how it will be done



# Advantages of Planning

- Encourages innovative thought
  - A good plan should provide a basis for new thinking in any individual
- Improves ability to cope with change
  - Planning helps managers improve their ability to cope with changes but it can not prevent the changes from happening



# Advantages of Planning

- Development of efficient methods
  - Planning helps the management develop efficient methods and procedure of actions
- Delegation of authority facilitation
  - A well-prepared plan will always facilitate the delegation of authority



# The Management Process

- Plan what is to be done
- Organize how it is to be done including staffing and coordinating
- Direct the work that is to be done
- Control or evaluate what has been done

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# The Planning Process



- Define the purpose or problem and set objectives
- Collect and evaluate data relevant to forecasting the future (focus on the present)
- Develop alternative courses of action
- Decide on the best course of action
- Carry out the plan



# Steps in Planning Process

- Analysis of external environment
  - It is necessary to consider the external environment of an organization which includes socio-economic conditions and political conditions prevailing in the country
- Analysis of internal environment
  - It can be called as Resource audit, which means analysis of the strength and weaknesses of an organization



# Steps in Planning Process

- Determination of objectives
  - The objectives of an organization are pre-planned which specify the result expected
- Determining planning premises and constraints
  - Planning is forward looking and based on forecasting which can be done in following ways:
    - The expectations of volume of sales
    - What kind of products are to be sold



# Steps in Planning Process

- Examination of alternative courses of action
  - Management should find the alternative ways and examine them in the light of planning premises
- Weighing alternative course of action
  - There is need for weighing all the alternatives to determine the best alternative since all the alternatives are not suitable for an organization



# Steps in Planning Process

- Selection of the best alternative course of action
  - The selection of the best alternative is based on the weighing of various alternatives.
- Establishing the sequence of activities
  - The determined course of action is adopted for each section or department, product, for a quarter, month, week etc.



# Steps in Planning Process

- Determining secondary plans
  - The preparation of a secondary plan is necessary to expedite the achievement of the basic plan
- Securing participation of employees
  - The successful execution of any plan depends upon the extent of participation of employees
- Follow-up and evaluation
  - The shortcomings of planning can be identified through a follow-up action



# Methods of Planning

- According to the usage and nature of planning, the methods of planning are divided in 3 categories
  - Objective Plans
  - Standing Plans
  - Master Plans
- Objective plans
  - Objectives are treated as basic plans.
  - Basic plans are necessary for all types of planning operation



# Methods of Planning

- Standing plans
  - These include policies and procedures
  - Are liable to repetitive actions
  - Provide a ready guideline for solving recurring problems
  - Standing plans limit the freedom of the manager for ensuring integrated and co-operative actions



# Methods of Planning

- Master plans
  - Covers the complete course of action along with consideration of time and strategy
  - If plans are prepared function-wise, may be concerned with production, sales, purchase, and similar activities





# Limitations of Planning

- Inflexibility
  - Inflexibility arises an account of the philosophy of management
- Limitation of forecasts
  - If there is any defect in forecasts, the planning will lose its value since it is fully based on forecasts
- Unsuitability
  - There is need for modernization of alteration of framed objectives and policies in the light of new opportunities



# Limitations of Planning

- Time consuming
  - To prepare a plan, the management has to collect various information and hold discussions with others hence planning is time consuming process
- Costly
  - Procedures in the planning work can not be completed without incurring any expenses
- Mental ability
  - Planning is a mental exercise. The most careful plan is made only by an able one



# Limitations of Planning

- False sense of security
  - The course of action in planning is limited and planning become precise
- Delay during emergency period
  - Planning does not give any benefits to an organization during the emergency period
- Capital investment
  - If the sizable amounts are invested in fixed assets, the ability to change future course of action will be limited



# Limitations of Planning

- Political climate
  - Government can change its attitudes according to the changes of the political climate
- Trade union
  - The freedom of planning is restricted through the organization of trade union at national level
- Technological changes
  - The management has to face the number of problems



# Obstacle of Planning

Planning may face certain difficulties in the planning which are summarized below:

- Unreliability of forecasts
- Recurring of same type of problems
- Expensive
- Loss of initiative



# Summary

- Planning the first and foremost function of management
- Some of the characteristics of planning are looking into the future, involves predetermined line actions
- Planning contributes to objectives
- Planning is an intellectual activity



# Summary

- Planning give economy in operation, motivation
- Some of the steps of planning include analysis external and internal environment
- Planning is sometimes inflexible, unsuitable



# End of Lecture

**THANK YOU!**



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